Illustration 10

M/s Ramco textile mills purchased machinery on 1st April 2014 for ₹ 2,00,000 on credit from M/s. Nila & Co. and spent ₹ 10,000 on its installation. Depreciation is provided at 10% per annum on the written down value method. Prepare machinery account and depreciation account for the first three years. Books are closed on 31st March every year.

Solution

Ledger accounts

Dr. **Machinery Account** **Cr.**

Date	Particulars	₹	Date	Particulars	₹
2014			2015		
April 1	To Nila & Co. A/c	2.00,000	March 31	By Depreciation A/c	21,000
April 1	To Bank A/c	10,000		(2,10,000 ×10%)	
			March 31	By Balance c/d	1,89,000
		2,10,000			2,10,000
2015			2016		
April 1	To Balance b/d	1,89,000	March 31	By Depreciation A/c	18,900
				(1,89,000 ×10%)	
			March 31	By Balance c/d	1,70,100
		1,89,000			1,89,000
2016			2017		
April 1	To Balance b/d	1,70,100	March 31	By Depreciation A/c	17,010
				(1,70,100 ×10%)	
			March 31	By Balance c/d	1,53,090
		1,70,100			1,70,100
2017					
April 1	To Balance b/d	1,53,090			

Dr. **Depreciation Account** **Cr.**

Date	Particulars	₹	Date	Particulars	₹
2015			2015		
March 31	To MachineryA/c	21,000	March 31	By Profit & Loss A/c	21,000
		21,000			21,000
2016			2016		
March 31	To MachineryA/c	18,900	March 31	By Profit & Loss A/c	18,,900
		18,900			18,900
2017			2017		
March 31	To MachineryA/c	17,010	March 31	By Profit & Loss A/c	17,010
		17,010			17,010

Illustration 11

A Ltd., purchased a machine on 1st January 2014 for ₹ 60,000. On 1st July 2014, it purchased another machine for ₹ 50,000. On 1st July 2015, the company sold the machine purchased on 1st January 2014 for ₹ 40,000. It was decided that the machine be depreciated at 10% per annum on diminishing balance method. Show the machinery account for the years 2014 to 2016. The accounts are closed on December 31st, every year.

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